Chandru is admitted as a new partner on 1.4.2018 by introducing a capital of ₹ 20,000 for 1/4 share in the future profit subject to the following adjustments:

(a) Stock to be depreciated by ₹ 3,000

(b) Provision for doubtful debts to be created for ₹ 2,000.

(c) Land was to be appreciated by ₹ 10,000

Prepare revaluation account and capital account of partners after admission.

Solution

Dr. **Revaluation Account** **Cr.**

Particulars	₹	₹	Particulars	₹
To Stock		3,000	By Land A/c	10,000
To Provision for doubtful debts		2,000		
To Profit on revaluation transferred to				
Anand's capital A/c (7/10)	3,500			
Balu's capital A/c (3/10)	1,500	**5,000**		
		10,000		10,000

Dr. **Capital Account** **Cr.**

Particulars	Anand ₹	Balu ₹	Chandru ₹	Particulars	Anand ₹	Balu ₹	Chandru ₹
To Balance c/d	**74,500**	**40,500**	**20,000**	By Balance b/d	50,000	30,000	-
				By Bank A/c	-	-	20,000
				By Revaluation A/c	3,500	1,500	-
				By Profit and loss A/c	21,000	9,000	-
	74,500	40,500	20,000		74,500	40,500	20,000
				By Balance b/d	74,500	40,500	20,000

Student activity 5.2

Whole class game: Change your position

One student says a transaction. If that transaction has the effect of revaluation gain, other students should stand up and vice versa.

Examples: When one student says depreciation of buildings, others should sit down.

When one student says furniture revaluation upwards, others should stand up.

It can also be played in groups or pairs.

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